Product Strategy 10/10 Answer: What should Zillow do next?

I answer a sample product strategy question so you can see the product strategy framework in action, and understand exactly how to elevate your answers.

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What should Zillow do next?

Get the lay of the land:

Before you jump into all the possible things Zillow could or should do, take a mome to **articulate the lay of the land and have a shared understanding with your interviewer.**

1. About Zillow:
    - Zillow is a product built to simplify the home buying/selling process. It aim to be the one-stop shop for all buying/selling needs for existing and new homeowners.
2. About the Industry
    - The real estate market has been booming in the last few years, with little signal of a slow down. Even the pandemic did not impact action in the mar in fact, many areas saw an increase in activity and prices during the pandemic.
3. Macro trends impacting the industry/company:

- With people staying at home most of the time, remodeling/home improvem industry grew manifold. With remote working becoming increasingly accep and widespread, there is a ton of buying activity in locations that weren't th popular before (e.g., Austin, the midwest, Hawaii, etc.) and selling activity i otherwise expensive, high-demand areas like the Bay area and Seattle.
- Supply chain issues due to the war and limited imports/exports led to increased construction costs. This led to the soaring home prices that teste the market's appetite to spend on houses.

If the company/product in question is a marketplace, ta about all the players in the ecosystem:

Zillow operates in an ecosystem with all of the below players:

1. Home buyers/sellers
2. Banks/Lenders
3. Realtors
4. Insurance companies
5. Home builders/remodelers
6. Interior designers/stagers/etc
7. Property Management Companies

And Zillow has invested in areas/products that solve pain points for home buyers/sellers.

Then move on to discussing how the company monetizes today:

Zillow makes money by 1. ads placed on Zillow by sellers/property management companies/realtors and 2. Commission on selling homes sold by Zillow realtors.

And finally, touch upon the competitive landscape for the product/company:

Zillow competes with Redfin, which has very similar features and is mostly neck to neck in terms of features/usability/etc. Another prominent player is Compass, whic has focussed its energy on the realtor market and solving use cases for them but is moving into the consumer space.

You have now established a shared understanding of the industry and the compar with the interviewer. Take a moment to conduct a detailed SWOT analysis. Use tl time to brainstorm with your interviewer and make it interactive. It should be eas to do so if you did a good job setting the lay of the land.

Zillow SWOT analysis:

Strengths:

1. Data: Zillow has a ton of data on home buying trends, hot markets, upcoming markets, pricing, etc
2. Strong realtor network
3. Massive market share of the buyers/sellers in the real estate market
4. Mortgage data, price forecasting, etc
5. Known brand name
6. Huge inventory of homes

Weaknesses:

1. Recent bad PR on buying too many houses and not being able to sustain/sell mi lead to trust going down amongst buyers/sellers/realtors
2. No big differentiator from competitors like Redfin.
3. Still not a one-stop shop for ALL home-buying needs. The journey ends with tl sale of a house.

4. Limited revenue sources

Threats:

1. Low barrier to entry, Redfin can copy almost everything, given strengths are aligned between the two companies.
2. Fed interest rates, inflation, and economic policy directly impact the real estate industry, opening Zillow to vulnerabilities, which need to be planned for in advance.

Since the question is about areas Zillow should invest in, talk about opportunities a s**etting the right goals.**

Zillow being a public company, has a responsibility toward its shareholders. Its goa are to increase market share in the real estate industry and increase revenue (either growing current revenue streams or diversifying revenue streams). Of course, this c be done only if Zillow solves user pain points materially.

Looking at the Zillows strengths and its goals, I think **Zillow has the following opportunities:**

Opportunities:

1. Embrace new technologies like AR/VR: Zillow is not considered a tech compan it's still heavily business-driven. With new technologies like AR/VR becoming more widespread, Zillow can make the virtual home buying experience seamles and fuel a new industry. Especially now, people are not entirely new to virtual home buying after Covid. However, making this pivot might be challenging, an Zillow will need to understand the short and long-term impact of this investme
   a. Goal: Long-term market share
   b. Pain point: Virtual home buying

2. Expand beyond buyers/sellers and build products for realtors, interior designer lenders, etc., that kick starts a flywheel and makes Zillow the one-stop-shop. Tl will increase ad revenue with interior designers and developers competing for a space, along with realtors, and also solve user pain points of looking for service outside Zillow.
    a. Goal: Revenue
    b. Pain point: One-stop shop for buyers
3. A new business model which will attract more realtors to the platform. Diversi revenue streams by building tools for Realtors to create marketing material for their listing, a CRM, etc. Charge for these on a subscription basis.
    a. Goal: Revenue
    b. Pain point: Ease the workload for realtors

Now that you have brainstormed and discussed the opportunities, it's time to consider the trade-offs and prioritize an area of investment for Zillow.

Trade-offs:

1. **Virtual home buying** may not be as big an opportunity once Covid subsides. People buying for investment purposes may still be interested in this, but mark size may not justify the investment. Moving into tech is a hard pivot and will require the company to hire a different type of talent and change its DNA from business only focussed to tech-enabled.
2. Becoming a **one-stop shop** will give long-term leverage to Zillow. It's in the company's wheelhouse to build marketplaces after successfully building a marketplace for realtors and consumers. The company will need to upskill or b new capabilities to understand the additional consumer segments and build a relevant product offering for them.

To **prioritize**, I'll look at potential impact, the confidence of impact, time to market and if the opportunity is in line with Zillow's

mission. I is H/M on impact, M on confidence, H on time to market, H on in line wi goals. 2 is H on impact, H on confidence, H on time to market due to a whole new segment being onboarded, and H on the mission. Based on the metric, I will priorit two and invest in becoming the one-stop shop.

If time permits, you can talk about the exact solution, MVP, etc., to become the one stop shop.

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